City of Cambridge
Executive Department

YI-AN HUANG
City Manager

CMA 2026-269
IN CITY COUNCIL
September 28, 2026

To the Honorable, the City Council:

Please find attached response to Awaiting Report #26-49 and Policy Order #130 which asked for assessments of the economic effects of Cambridge's 2026 summer programming, along with updates on state-level advocacy and considerations for future policy options.

Very truly yours,

Yi-An Huang
City Manager

City of Cambridge

A communication transmitted from Yi-An Huang, City Manager, relative to Awaiting Report Item Number #26-49 and Policy Order #130 regarding assessments of the economic effects of Cambridge's 2026 summer programming.

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City Manager

September, 28 2026

To the Honorable, the City Council:

In response to Awaiting Report #26-49 and Policy Order #130 which asked for assessments of the economic effects of Cambridge's 2026 summer programming, along with updates on state-level advocacy and considerations for future policy options. Staff from Economic Opportunity & Development Division, the License Commission, and the City Manager's Office Report the following.



Summer 2026

Summer 2026 was a unique opportunity in Cambridge, due to Massachusetts hosting the FIFA World Cup and Sail Boston, and celebrating the 250th Anniversary of America all at once. The summer proved to be a standout season for Cambridge, with meaningful economic benefits

across lodging, restaurant, and attraction sectors, and activation in all of Cambridge's major business districts.

Lodging Reporting

Pinnacle Advisory Group reported Cambridge hotels reported a 10% increase in revenue in June 2026 compared with June 2025. Cambridge Office of Tourism (COT) survey[1] responses indicated strong international visitation, with 73% of responding hotels noting international guests and 59% reporting guest inquiries specifically about Cambridge dining and nightlife, suggesting both increased visitation and direct spillovers into local commercial activity. Over the total summer season, Pinnacle Advisory Group reported Cambridge hotels averaged 85% occupancy, an improvement over the previous year, and saw a 6% increase in Revenue per Available Room (RevPAR)[2] driven by a 5% increase in Average Daily Rate (ADR[3]□, reflecting strong demand tied to visitors choosing Cambridge as a lodging destination.

Local Business

Local businesses also reported higher activity during the summer. According to the COT-conducted survey of hotels, restaurants, and attractions, 87% of restaurants reported higher customer traffic, with 67% seeing increases in walk-ins, and 60% noting more international visitors. Local attractions, including museums, reported similar gains: 60% saw higher overall business compared to last year, 80% reported more walk-ins, and 60% observed increases in international visitors. Overall, the COT survey findings show that the increase in visitors helped boost commercial activity and increased cultural and recreational engagement.



[1] COT conducted a weekly survey to hotels, attractions, and restaurants during June-August. Survey responses ranged from 12-30 responses.
[2] RevPAR stands for Revenue per Available Room; a key performance indicator used in hotel industry. It helps measure a property's financial performance and its ability to fill its room at competitive rates.
[3] ADR stands for Average Daily Rate. It measures the average rental income per paid occupied room at a given time.

Citywide Watch Parties

Between June and July 2026, the City, in partnership with local business associations, co-hosted eight watch parties, including four Afro-Caribbean Nite Markets. In addition to the events, the City supported Cambridge Local First's Passport Program, which distributed over 2,000 passports to visitors during the World Cup encouraging them to visit local businesses. These activations were part of "Cambridge United – Where the World Comes Together", a citywide campaign of eight free World Cup watch parties funded in part through a $91,000 grant from the Massachusetts Office of Travel & Tourism alongside additional City resources. Each event featured live match screenings, cultural performances, family-friendly activities, diverse retail vendors, and food from local restaurants, aimed at celebrating global culture and supporting neighborhood-level economic activity. Events took place in Central Square, Harvard Square, Inman Square, Kendall/MIT, and East Cambridge, bringing residents, visitors, and families together in Cambridge's most vibrant public spaces.

Placer.ai is a location-analytics platform that uses anonymized mobile-device data to show how people move around physical places. COT Placer.ai data showed that the watch parties generated 72,700 visits[4] across seven Cambridge neighborhoods, with median stays reaching up to 107 minutes, showing that visitors remained active in the area, during and after events. Central, Harvard, and Inman Squares recorded the most activity, with Central Square's Haiti vs. Scotland and Donnelly Field's Germany vs. Paraguay games seeing the longest visit durations. Attendance estimates of 500 to over 5,000 attendees at each event.

Cambridge United events were intentionally distributed across commercial districts and near hotels, transit connections, and attractions to generate economic activity citywide. The City also partnered with business associations and the Office of Tourism to support promotional outreach, including hotel visitor materials and regional advertising, ensuring attendees would explore Cambridge before and after match viewings.





[4] Placer.ai visits represent activity within the defined location or surrounding geofence—not verified watch-party attendance. Locations vary in size, density and typical pedestrian traffic, so results should be interpreted as directional rather than directly comparable.

Marketing and Social and Media Reach
Beyond the economic impacts, the City invested in marketing the events and received a great deal of positive media engagement. The City, in partnership with the Office of Tourism, distributed over 1,200 marketing materials to promote Summer 2026 and Fall 2026 events to hotels.

Over the course of the summer, the city was featured in the following local media platforms:

- NBC 10
- Boston Globe
- Boston Globe In Camberville Edition
- Cambridge Day
- CBS News Boston
- WBUR
- NH Public Radio
- Boston 25 News

The City's website and social media posts were also active. The City's World Cup page saw 43,000 web views between June-July, and the City's World Cup social media posts made 197,965 impressions, 6,894 engagements, 3.5% engagement rate per impression, and an average reach of 3,315 per post.



Public Consumption and Extended Hours Pilot
On June 8, Governor Healy signed an act authorizing local licensing authorities to opt-in to a temporary pilot to extend alcohol service hours by one hour and to allow for public consumption in designated districts in summer 2026. The License Commission accepted the provisions of the

Act and worked with the City to have it approve public consumption zones, which per the Act, had to be approved by the municipality too. City staff quickly turned around and created seven (7) districts. License Commission notified businesses of the new public consumption zones and the maximum one-hour extension (not to exceed 3.am.)[5]. In Cambridge this pilot ran from June 12-July 31, 2026; it was the first municipality to implement it. Per the Act, all business had to receive approval from the License Commission prior to being able to either serve alcohol to-go or extend their closing hour. The quick turn-around in getting businesses approved for the additional services was due, in part, to the existing applications to amend licenses for one days, the Information and Technology Department's assistance in updating the output documents, and the extensive experience the group who worked on this (City Manager's Office, Economic Opportunity and Development Division and the License Commission) had from COVID when temporary outdoor seating permits had to be issued to allow businesses to operate. The City Manager's Office, License Commission, and the Economic Opportunity and Development (EOD) Division distributed communication on this opportunity and provided bracelets and other materials to approved licensees.

Business Participation Data
There were 253 businesses eligible for to-go and extension of hours during this pilot. Fifty-one (51) alcohol licensed businesses (20% of all eligible licensees) applied and obtained to-go and/or extension of hours. Sixty-three (63) 2:00AM licensees could have requested extension of hours and 14 applied (22%).

- Businesses applied/obtained alcohol-to-go only: 21 for the full pilot, 8 for only one day
- Businesses that applied/obtained extension of hours: 4 for full pilot, 1 business for 2-day events
- Businesses that applied/obtained to-go and extension of hours: 17

Alcohol businesses with a 2:00 AM license that requested/received extension of hours to 3:00 AM: 13 for full season, 1 for two one day events. *Most businesses who requested the full pilot season did not use it.* The majority of businesses that participated in the state's pilot program opted in to Alcohol-to-Go. Participation varied significantly by district and business type, particularly more businesses signed up with proximity to World Cup watch parties. Most extended hour participants were nightlife venues, bars, or music/dance clubs.

Businesses that did use extended hours frequently cited that during the pilot they received higher revenue, improved customer experience, and better crowd flow compared to the traditional 2:00 AM citywide "let-out". The majority of all survey respondents reported no safety or enforcement issues, but a few brought up concerns of public intoxication and abuse if the program became permanent.

EOD Division and License Commission sent out a survey to all licensees and we received 58 responses. Of those 58 responses, 38 (65%) participated in either to-go and/or extended hours. Below is an overview of the survey feedback.

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[5] It is important to note that not all Cambridge licensees have a 2:00 AM closing hour. Extended hours allowed businesses to extend one hour of their normal license, not exceeding 3:00 AM. For example some businesses, instead of closing at 1:00 AM, could request to close at 2:00 AM.

Pilot Program Results

Economic Impact of the Pilot Program

Many participating businesses reported moderate to significant increases in both customers and revenue during the pilot period, with some businesses seeing over 25% increase in revenue from June 2025. However, businesses outside designated zones or non-TV establishments often experienced decreased sales, highlighting concerns around geographic equity.

Businesses adjacent to watch parties generally experienced the strongest increases in foot traffic and sales, events were described as "hugely positive," "fabulous," or "exponentially higher foot traffic." Others noted reduced sales due to free outdoor alternatives and street closures. The desire for more outdoor events was commented on by various respondents.

Operational Feedback

Businesses described Alcohol-to-Go as generally easy to implement, with occasional challenges stemming from cup branding requirements and zone boundaries. Extended hours created staffing burdens and raised concerns about transit access for employees.

Safety and Enforcement Feedback

Most businesses reported no safety issues, with some concerns about to-go trash. Patrons were widely described as responsible, and several businesses noted increased vibrancy and improved nightlife atmosphere. CPD and License Commission received no safety complaints during the pilot program.

Overall, there is strong support for making alcohol-to-go permanent, with recommended adjustments including simplified compliance requirements and either more consumption districts or larger ones. Support for permanent late-night service until 3AM is mixed and often conditional. Ultimately, businesses who saw activation near their business found participation in the pilot the most positive impact, while others are not sure if they would participate again.

The Summer 2026 pilot program positively impacted many businesses and contributed to a livelier Cambridge summer environment. However, not all businesses are interested in making the alcohol-to-go or 3:00 AM licenses permanent. With adjustments to equity, communications, compliance, and transportation access, a permanent program could provide meaningful, long-term benefits to small businesses across the city.

Future Pilots and Permanent Policy Changes

The City had initially hoped that the State legislature would extend the Governor's pilot measures as part of the Legislature's larger economic development bill, the Mass Wins Act. However, the amendments extending both public consumption and extended hours did not move forward. As a result, the City cannot move forward with a fall 2026 pilot program. The City is now assessing next steps, including the possibility of working with the Council on pursuing a Home Rule Petition to secure the required flexibility for future license changes. The License Commission, which already has a process and allows extension of service hours for special

events such as New Year's Eve, is already set up to support any temporary one-day changes to service hours beyond what is currently statutorily allowed.

Cambridge's summer season demonstrated clear gains for the business community, and an overwhelming feeling of joy and community amongst residents and visitors, with strong evidence of increased visitation, commercial activity, and community participation. The increase in hotel revenue and occupancy, higher activity at restaurants and attractions, and tens of thousands of visits across Cambridge collectively point to a summer that strengthened Cambridge's economy and community. These trends underscore the potential long-term value of creating and expanding license laws and investing in special event programming to activate squares.

Very truly yours,



Yi-An Huang
City Manager